

Executive Summary

Danaos Corporation (DAC) · NYSE June 2026

Price (6/29/26) \$122 52-wk \$83–135	Market Cap ~\$2.27B ~18.6M shares	Trailing P/E ~4.0x P/B 0.63x	Net Debt ~\$170M 0.23x EBITDA
Backlog \$4.1B 100/88/65% covered	Shareholder Yield ~7% ~3% div + buyback	Fair Value ~\$176 book basis · ~\$192 at market	Fleet 86 75 boxships + 11 Capesize

The business is simple to describe: Danaos is essentially a **landlord whose tenants are the world's largest ocean carriers**. It owns 75 containerships and 11 Capesize bulkers, charters them out on multi-year leases, collects the payments, and returns the cash to shareholders. There is no reinvention story and no technology angle — it owns ships and rents them out.

The market values it at about **4.0x earnings and 0.63x book**, with very little net debt. In effect you are paying 63 cents for a dollar of modern, financed, fully-chartered ships, and the income for the next two years is already contracted in a \$4.1 billion backlog. With \$876M of cash against \$1,046M of gross debt, net debt is only ~\$170M — an unusually clean balance sheet for a single-digit multiple. You are also paid to wait: a ~3% dividend plus an ongoing buyback put the total shareholder yield near 7%.

BOTTOM LINE

The key choice sits in the asset value. The fleet is carried at about **\$3.3B book** on the balance sheet, but would fetch roughly **\$3.6B at today's second-hand prices**. Since ship prices may be near a cycle high, we deliberately use the lower \$3.3B book figure, which puts NAV at about **\$176 per share (+44% vs \$122)**; on the richer market value it would be ~\$192. The Combined and earnings-power lenses land nearby at ~\$173 and ~\$160. So we anchor on the conservative **~\$176**, treating the second-hand market as upside. The catch is timing: ship prices are likely near a cycle high, so this is a **cyclical to buy at a discount and sell when the cycle turns**, not a forever-hold.

1 • The Business

Danaos runs two main businesses, split roughly **90 / 10** by revenue (FY2025: container \$955.4M of \$1,042.5M total, ~91.6%), plus a small new bet on energy transport.



■ Containership ~90% ■ Drybulk ~10%

① Containership (~90%)

75 ships

~477,000 TEU. Cross-continental container transport, leased to liner companies on multi-year charters.

② Drybulk (~10%)

11 Capesize

Bulk carriers hauling mainly iron ore and coal.

③ LNG (call option)

~\$50M

Small recent commitment to LNG shipping — optionality, not yet a driver.

What moves on each route

Segment		Cargo	Trade flow
Containership	Manufactured goods	Mainly China / SE Asia → US / Europe	
Drybulk (Capesize)	Iron ore & coal	Americas / Australia → China / SE Asia	

The two segments lean on opposite ends of the same trade system: containerships ride **export demand out of Asia**, while the Capesize bulkers ride **raw-material imports into Asia**. Owning both gives a degree of natural balance across the global goods cycle.

The LNG call option

The company has recently committed roughly **\$50 million to the LNG market** — a small, speculative bet that the next era of energy transport (LNG carriage in particular) gets structurally tighter. It is not material to today's numbers and is excluded from the valuation; treat it as a free option on energy-shipping scarcity, with the downside capped at the capital committed. **optionality**

2 • The Investment Thesis (Three Lenses)

I look at this company through three questions, and they turn out to be the entire thesis.

| Lens 1 — What are the ships earning, and how long is it locked?

Danaos has 100% of 2026 contracted, 88% of 2027, and 65% of 2028. Utilization runs 96–100%; the only idle days last quarter came from two bulkers in scheduled drydock. The income for the next two years is not a forecast — it is a signed lease. That is why this is a landlord, not a trader.

| Lens 2 — What are the ships actually worth?

On the balance sheet, the fleet is carried at a book value of about \$3.3B. Track the actual second-hand market, where comparable ships change hands today, and the same fleet is worth closer to \$3.6B. Since ship prices may be near a cyclical high, we deliberately use the more conservative \$3.3B book figure in our valuation. Even on that conservative basis, the company is worth well above its \$2.27B market cap.

| Lens 3 — Can the tenants pay?

The rent roll is concentrated — CMA CGM (~21%), MSC (~13–16%), COSCO, Maersk, Hapag-Lloyd. The big charterers are financially strong, but liner profits are falling sharply across the industry in 2026, and a cash-strapped tenant renegotiates. This is the real risk, and it is the one to watch.

If all three line up, you own a cheap, well-financed landlord with paying tenants. If lenses 1 and 2 sit at high tide while lens 3 deteriorates, you own a value trap. The truth is in the middle, and the backlog is what tips it toward owning it.

3 · What the Market Sees vs. What It May Be Missing

What the market sees: a Greek shipping company. Cyclical. Charter rates everyone knows are about to fall as ~450,000 TEU of new capacity arrives in H1 2026. A family-controlled balance sheet. A chart that has tripled off the October 2025 low of \$83. So the market puts a 4x multiple on peak earnings — precisely because it expects those earnings to fall. The low multiple isn't a mistake; it reflects doubt that the current level of earnings will hold.

What it may be missing

First, the backlog changes the math on "the E will fall." Spot rates are rolling over, but Danaos earns a signed lease book covering all of 2026 and most of 2027. Earnings cannot fall to spot until the leases roll — and by then the company has collected two years of heavy cash flow and bought back stock. The market is pricing a 2026 rate cut into a company that won't feel one in 2026.

Second, in a cyclical the balance sheet is the whole game, and this one is bulletproof. With ~\$170M net debt (0.23x EBITDA), Danaos is the buyer, not the seller, when rates crater and over-levered owners dump ships. That asymmetry is worth a great deal, and the multiple gives you none of it.

Third, the stock trades below a conservative book value. A shipping company usually trades at 0.63x book near the *bottom* of a cycle. Trading there near the *top*, with second-hand values at decade highs, only makes sense if you believe the cycle peaks today. But management — covered in the next section — is **expanding the fleet, not retreating**. That is not how operators behave when they think the peak has arrived.

4 • Management & Track Record

The case for trusting the "they're expanding because they don't think it's the peak" signal rests on who is sending it.

A SEASONED OPERATOR THAT HAS SURVIVED THE WORST

The Coustas family has run Danaos for roughly **50 years** — among the most experienced operators in container leasing. They have steered the company through the **2008 financial crisis** and the **2020 pandemic**, two of the harshest shocks the industry has faced, and come out the other side intact. That history is exactly why they are unusually disciplined about leverage today.

The ZIM stake — a well-timed windfall

The most remarkable chapter is the ZIM stake. In ZIM's **2014 restructuring**, the distressed carrier negotiated **reduced charter rates** on six Danaos vessels and cancelled other obligations; in exchange, Danaos accepted **ZIM notes and shares — a stake of roughly 7.6% of ZIM** (later built up to ~10.2%, about 10.2 million shares). For years it looked like a write-off — Danaos even booked a ~\$19M hit on the restructuring. Then ZIM **IPO'd in January 2021**; the stock soared through the container boom, the stake was worth roughly **\$400 million**, and Danaos sold it down — collecting ZIM's large special dividends along the way — **exiting fully by Q3 2022**.

One contributor to the deleveraging, not the whole story

Net debt fell from roughly **\$2.43 billion in 2016** to ~\$1.25B by 2021 and toward minimal levels today. The bulk of that came from **strong operating cash flow through the 2021–2024 boom**; the ~\$400M of ZIM proceeds (plus ZIM's dividends) was a meaningful contributor on top. The takeaway is qualitative: a seasoned team turned distressed charter concessions into real cash and, with the cycle's help, used it to repair the balance sheet. [verified · Danaos 20-F, TradeWinds, The Loadstar](#)

The relevance to the thesis is direct. When a management team that has navigated 2008, 2020, and a near-death debt load chooses to **expand** rather than retreat at what looks like a cycle top, that is a meaningful signal — these are not people who take balance-sheet risk lightly.

5 · Latest Earnings Review — Q1 2026

It was a quiet, solid quarter.

Metric	Q1 2026	Q1 2025	YoY
Operating Revenue	\$253.7M	~\$255M	~flat
Adj. EBITDA	\$180.6M	\$171.7M	+5%
Net Income (GAAP)	\$140.4M	\$115.1M	+22%
Diluted EPS	\$7.70	\$6.13	+26%
Drybulk TCE (\$/day)	\$24,800	\$10,500	+136%
Contracted Backlog	\$4.1B	\$4.3B	—

Two things matter; the rest is noise. **Drybulk is on a clear upward trend** — time-charter-equivalent earnings more than doubled to \$24,800/day, swinging the segment from loss to profit. **Containership was relatively flat**, with results impacted by inflation (rising operating costs) rather than any clear rate decline. It's too early to read a trend there — the next one or two quarters will tell whether anything is genuinely changing.

The rest is housekeeping I like to see: the company repaid \$262.8M of 8.5% senior notes, prepaid \$213.8M of bank debt, kept buying back stock, and paid its \$0.90 quarterly dividend — returning a lot of cash while conditions are good.

6 · What the Fleet Is Worth — the NAV Method

Start with a principle: you cannot value a ship company off book value alone. The balance sheet carries each vessel at cost less depreciation — what the ship *cost*, not what it is *worth* today. You have to track the actual second-hand market price and mark the fleet to that. With second-hand values at multi-year highs, book almost certainly understates the truth.

Calibrated to actual recent sales

Real transaction (2025–26)	Actual	Model mark
15-yr 2,500 TEU feeder (Jan-26)	\$31.2M	\$29M
18-yr 4,730 TEU panamax (MSC)	\$35M	\$28M
15-yr ~8,500 TEU (ONE en-bloc)	~\$77M	\$61M
5-yr mid-size basket	\$11,400/TEU	anchored

Older tonnage is holding value remarkably well, so a generic depreciation curve badly understates it. I anchor to those prints — feeders at a steep per-TEU premium, large ships at a discount, a gentle decline with age — and price all 86 hulls individually.

One deliberate adjustment

The eight largest ships — five 13,082 TEU sisters and three 10,114 TEU vessels, all 2011–2012 — have the **thinnest second-hand comps** in the fleet, so I mark them at a deliberate **30% discount** to the curve. That is the most uncertain part of the estimate, and it is the conservative choice. They are ~15% of the fleet, so even a large haircut moves NAV only ~\$8–11.

Two numbers come out of this. On the company's balance sheet, the fleet is carried at a book value of about **\$3.3 billion**; marked to the actual second-hand sales above, the same fleet is worth roughly **\$3.6 billion**. Because ship prices may be near a cyclical high, we deliberately anchor on the conservative **\$3.3 billion book figure**. Add \$876M of cash and \$144M of Star Bulk securities, subtract \$1,046M of debt, and NAV is about **\$176 per share (0.69x)**. On the richer \$3.6 billion second-hand value, NAV would be about **\$192**. Either way, the stock at \$122 trades at a clear discount to the ships.

■ Newbuilds are excluded from NAV — on purpose

Vessels under construction are not yet balance-sheet assets; only progress payments are capitalized as a hull is built. So the newbuild orderbook is excluded from NAV entirely — its value arrives later, as each ship delivers and begins earning, and it belongs in the cash-flow view, not the asset view.

CAVEAT

The \$3.6 billion second-hand value sits at the top of an unusually strong sale-and-purchase market, and a mark is not a sale: in a downturn, volume thins out and you cannot sell dozens of ships at quoted prices. That is exactly why we carry the lower \$3.3 billion book figure as the base and treat the ~\$192 market NAV as upside, not the anchor. The asset value is real, but fully bankable only for an owner that is never forced to sell. With its low leverage, Danaos is that kind of owner.

7 • The Breakeven Question

Computing the breakeven separates "earnings fall" from "company loses money" — very different risks.

estimate

Per mid-size containership	\$/day	Basis
Vessel operating cost	~\$6,500	Industry norm
Overhead + drydock reserve	~\$2,000	Estimate
Cash interest	~\$2,000	\$1.05B gross debt
Cash breakeven	~\$10-12k	vs charter \$40-65k

Charter rates would have to fall 70–80% before the operating fleet stops generating cash. Earnings can halve and Danaos still produces heavy free cash flow. So the bear case is almost never insolvency — it's that peak earnings normalize, the multiple was on peak earnings, and the stock drifts as the E re-rates down. A real way to lose money, but far gentler than a wipeout, and the dividend and buyback pay you to wait.

8 • Can the Tenants Pay the Rent?

Tenant (~exposure)	2025/26 health	Default risk
CMA CGM (~21%)	Rev \$54.4B, EBITDA \$10.6B, net debt \$3.7B	Low
MSC (~13-16%)	Private, world's largest carrier	Low
COSCO	Q3 net -55% but profitable, state-backed	Low
Hapag-Lloyd	Q1 2026 profit -155% (loss)	Medium
Maersk / others	Solid	Low

THE MOST IMPORTANT RISK TO WEIGH

The tenants are financially strong today, but their profits are falling sharply in 2026. Long leases are valuable until the tenants get weak enough to ask for lower rates or threaten to walk. Two structural risks compound this: outright counterparty failure (low near-term), and the growing desire among carriers to **own their own ships** rather than charter them (slow, structural). The latter is the real reason the **2027–2028 re-charter window** matters more than anything on the 2026 income statement. Watch the liner income statements — they are the leading indicator.

9 · Peer Comparison

Two listed peers do roughly the same thing — own ships and lease them to liners: **Costamare (CMRE)** and **Global Ship Lease (GSL)**. The comparison is what makes Danaos's balance sheet stand out. figures directional

Metric	DAC	CMRE	GSL
Market cap	~\$2.3B	~\$1.7B	~\$1.1B
Trailing P/E	~4.0x	higher (~6-8x)	~3-4x
Net debt / EBITDA	<1x	~1.5x	~2.9x
Interest coverage	~15x	—	~4.5x
Operating margin	~57-60%	~57-60%	~52%
Fleet	86, modern core	diversified + leasing arm	older (~14yr), smaller

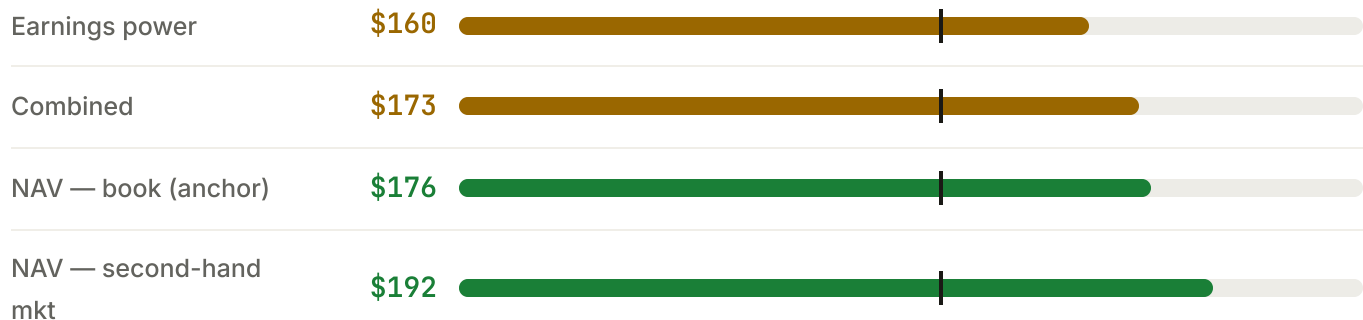
Same business, very different balance sheets

CMRE trades at a richer multiple than Danaos, but it carries clearly more leverage for its size and has spread into a dry-bulk and leasing platform — a more complex, more indebted story. **GSL** is the cheapest on earnings, but it is materially smaller, its fleet is older (~14-year average, a real liability as decarbonization rules tighten), and it is the most leveraged of the three with the weakest interest coverage. Danaos sits in the middle on price but at the **top on balance-sheet quality** — you are paying a low multiple for the lowest-risk balance sheet in the group, which is exactly what you want to own near a cycle peak.

10 · Valuation — Collect the Backlog, Then Sell the Fleet

I value Danaos three ways and anchor on the third, because it matches how a leasing company actually creates value.

Three lenses on the same equity



| vertical line = current price \$122. We anchor on the conservative book NAV (~\$176); marked to the second-hand market it would be ~\$192. Earnings power and the Combined view sit nearby at ~\$160 and ~\$173.

Lens 1 — NAV (asset floor, our anchor): the fleet is carried at ~\$3.3B on the books and worth ~\$3.6B at second-hand prices; we conservatively use the \$3.3B book figure. Add cash and securities, settle the debt → NAV ~\$176 (0.69x), or ~\$192 if marked to the market.

Lens 2 — Earnings power (going concern): the present value of the net income the fleet generates, margins stepping down to mid-cycle → ~\$160.

Lens 3 — Combined (cross-check): collect ~3 years of contracted backlog income (~\$1.2B PV), then sell the fleet at a conservative 80%-of-book terminal (~\$2.0B PV), add cash and securities, settle \$1.05B of debt → about **\$173, ~42% above today's price**. This legitimately adds income + ship sale without double-counting: the earning window is finite and the sale is the terminal value. It lands right next to the book NAV, which is reassuring.

11 · Scenario Analysis

BULL · 2–3 YR

\$190–210

Cycle firm, fleet holds its ~\$3.6B second-hand value

BASE · 2–3 YR

\$170–180

Conservative book NAV, paid ~7% to wait

BEAR

\$120–130

Ship values –25–35% + weak tenant; ~today's price

| The cushion the real-price marks reveal

Even a 25–35% correction in ship values only pulls NAV to ~\$120–135, still around today's price. That is the cushion: the downside that matters here is the peak-cycle value trap (earnings and asset values normalizing together), not insolvency — the backlog and low leverage keep a genuine breakdown off the table.

12 · Key Risks

| Peak-cycle value trap — the #1 risk

A low P/E and low P/B at the top of a cycle is the most reliable way thoughtful people lose money in shipping. Both the earnings anchor and the asset anchor are inflated by the same cycle. The discipline is to underwrite to mid-cycle — which the Combined valuation partly does (80% terminal, margins stepping down).

| Red Sea normalization

Rerouting around Africa is absorbing enormous capacity. If the Suez routing reopens, effective supply jumps >10% almost overnight and rates can fall fast. Binary, geopolitical, unforecastable — the single biggest swing factor on 2026–27 rates.

| Capital allocation at the top

Management is expanding the fleet and entering Alaska LNG — building assets at peak prices — while going slow on buybacks. Ordering steel at the top is the classic shipping mistake; Alaska LNG specifically is a troubled mega-project outside the core competence. I want to see discipline, not empire-building.

| Family control & securities

The Coustas family controls Danaos, with related-party fleet management. The reported liquidity includes \$144M of Star Bulk shares — volatile equity, not cash. And the balance sheet, while strong, is not net cash: ~\$170M of net debt, not the net-cash position a quick glance suggests.

| The 2028 cliff

Coverage drops to 65% in 2028 and thinner beyond, and the newbuilds deliver into that unknown. The visibility that makes 2026–27 comfortable runs out exactly when the orderbook lands.

13 · Final Judgment

Danaos is not a cheap growth stock; it is a **minimally-levered landlord trading below the value of its ships and its contracts**, sitting near the top of a charter cycle. Three of the four real worries — insolvency, forced selling, tenant default — are well defended by the balance sheet and the backlog. The fourth, that you are buying peak earnings and peak asset values at the same time, is real, and it is exactly why the multiple is 4x rather than 8x. The market is not being foolish; it is pricing the cycle.

My conviction is that the price protects you, the balance sheet means you cannot be forced out, and you are paid ~7% a year to wait for the gap between \$122 and a conservative fair value of about \$176 (~\$192 if the fleet is marked to the second-hand market) to close. That is a genuinely good risk-reward — provided you treat it as a cyclical: size it accordingly, watch charter rates and liner profitability, and be willing to sell when the cycle turns. The main mistake to avoid is confusing a good entry point with a permanent holding. Ships are not compounders.

Rating — LONG · Cyclical Value

Fair value ~**\$176** (conservative book basis; ~\$192 at second-hand market). Buy the discount, but treat it as a cyclical and be ready to sell when the cycle turns.

Disclaimer: Views of the author as of June 2026. Not investment advice. Based on public information including Danaos's Q1 2026 earnings (May 12, 2026) and 2025 Annual Report. NAV, breakeven and peer figures are estimates from industry norms and public sources, not company-disclosed. All investing involves risk of loss.